

TCS Buyback 2022| IT

TCS had come out with a buyback option with Q3FY22 results. The buyback statistics seem profitable and we encourage investors to participate in the buyback as suggested below.

Buyback Method	Tender Offer
Buyback size (Rs. Crs)	18,000.00
Max. price per share (Rs)	4,500.00
Total no. of shares	4,00,00,000.00
Reserve portion for small shareholder (15%)	60,00,000.00

The buyback has reserved 15% of the issue size for small shareholders. Small shareholders are categorized as value not more than Rs. 2,00,000/- per PAN

The Plan	
Share Price (Rs)	3,850.00
Number of shares	44.00
Total Investment (Rs)	1,69,400.00

Particulars	Acceptance A	Acceptance B	Acceptance C	Acceptance D
Acceptance Ratio (Assumptions)	20%	40%	60%	80%
Shares remaining post buyback	36.00	27.00	18.00	9.00
cash received from buyback	36,000.00	76,500.00	1,17,000.00	1,57,500.00
Current Value of remainder shares (3850 per share)	1,38,600.00	1,03,950.00	69,300.00	34,650.00
Break-even per share post buyback	3,706	3,441	2,911	1,322
Profit if remainder shares sold at buying price (Rs 3850)	5,200.00	11,050.00	16,900.00	22,750.00
Absolute Return	3.1%	6.5%	10.0%	13.4%

Conclusion:

Certain promoter entities have expressed their intentions to participate in the buyback. As per Annual Report FY21, the number of demat accounts holding less than 100 shares were 8,75,220 and the aggregate number of shares held by these accounts were 2.23 Cr.

As per the acceptance ratios, even with 20% acceptance, it will still be profitable. We recommend investors to participate in the buyback.

At Rs. 3850, TCS trades 29.3x of FY24E EPS. We have a hold rating on the stock.

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